Syllabus Edition
First teaching 2025
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The Importance of Cash & Cash Flow Forecasts

Exam code: 0450, 0986 & 0264, 0774

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Why is cash important?

- **Cash is the 'blood' of a business,** as without it, a business cannot survive
  - It is a **liquid asset** in the form of notes, coins and money in the bank
- A new business may have to **pay cash on purchase for all of its supplies** until its suppliers trust them enough to grant trade credit
  - A supplier may then give the business 30 or 60 days to pay for items they purchase
  - This means that the business can receive their stock now pay for it later, so the cash outflow is delayed
  - As the business **sells its products**, they receive money generated from the business revenue, which represents **a cash inflow**
  - At the end of the credit period, they pay the supplier **(cash outflow)**, but the firm may still have half of its stock available for sale
- More **established businesses** need to ensure that they manage cash effectively to ensure that they **do not run out of money**
  - Cash-flow issues may put the business in a situation where it is :
    - **Unable to pay** key stakeholders, such as workers and suppliers
      - **Production is likely to cease,** as workers will not work without pay and suppliers will not supply goods if they are not paid
    - Unable to **pay utility bills and rent**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Examiner Tips and Tricks

Many students confuse **cash, revenue and profit**. Remember: cash is money available to pay bills, revenue is income from sales, and profit is what remains after costs. Keeping these distinct is essential in exams

Introduction to cash flow forecasts

- A **cash-flow forecast** is a prediction of the expected **cash inflows** and **cash outflows**, typically for the next three, six or twelve-month period
  - **Typical outflows** include payments for raw materials, paying staff wages and salaries, paying bills such as electricity and repaying loans
  - **Typical inflows** include receipts from sales, money received from a new bank loan, money from the sale of an asset and money from investors

	JAN	FEB	MAR
TOTAL INFLOWS	8,600	2,800	3,100
TOTAL OUTFLOWS	4,770	4,414	4,524
NET CASH FLOW	3,830	(1,614)	(1,424)
OPENING BALANCE	500	4,330	2,716
CLOSING BALANCE	4,330	2,716	1,292

INFLOWS
MONEY COMING INTO THE BUSINESS

OUTFLOWS
MONEY GOING OUT OF THE BUSINESS

NET CASH FLOW
INFLOWS – OUTFLOWS

OPENING BALANCE
CASH HELD AT START OF MONTH

CLOSING BALANCE
CASH HELD AT END OF MONTH (BECOMES NEXT MONTH'S OPENING BALANCE)

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The three month cash-flow forecast clearly shows how inflows and outflows of cash into a business are accounted for

Features of cash flow forecasts

Cash inflows

- Cash inflows are sums of **money coming into the business**
- This includes items like **sales revenue**, **loans received** or **money from investors**

- This includes payments for **rent, wages, stock, bills** or **loan repayments**

Net cash flow

- Net cash flow is the **difference between cash inflows and cash outflows** in a given period
  - If net cash flow is positive, the business has more cash coming in than going out
  - If it's negative, the business is spending more than it receives
- Net cash flow is calculated using the formula

$$\text{Net cash flow} = \text{Cash inflows} - \text{Cash outflows}$$

Opening balance

- The opening balance is the **amount of cash the business has at the start of a period**, e.g., the beginning of the month
- It is usually the same as the **closing balance from the previous period**

Closing balance

- The closing balance is the **amount of cash the business has at the end of the period**
  - This figure shows whether the business will have enough money at the end of the month to cover its needs
- The closing balance is calculated using the formula

$$\text{Closing balance} = \text{Opening balance} + \text{Net cash flow}$$

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